

📄 PolyArb: Polymarket Quant Intelligence Dossier

Topic: polymarket arbitrage loopholes

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Engine: PolyArb Quant Analyzer & Research Engine

1. Executive Summary: What Actually Works

Polymarket is a hybrid prediction market: an off-chain Central Limit Order Book (CLOB) settled on Polygon using Gnosis Conditional Tokens (ERC-1155) and resolved by UMA's Optimistic Oracle.

The 3 Realistic Avenues to Profitability:

1. **Resolution Lag Discounting:** Buying winning shares at 98.0¢–99.0¢ from retail traders seeking instant liquidity.
 2. **Liquidity Mining / Maker Rebates:** Collecting daily USDC rewards from Merkl by quoting tight bid/ask spreads.
 3. **Negative-Risk Combinatorial Arbitrage:** Exploiting multi-outcome pricing discrepancies when $\sum P_{\{YES\}} \neq 1.00\$$.
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2. Live Market Telemetry (Real-Time Scan)

- **Events Evaluated:** 40
- **Markets Evaluated:** 60

✂ Live Combinatorial / Negative-Risk Opportunities:

- **Clemson vs. LSU** (132 outcomes)
 - Sum of YES Prices: **\$115.0** (Spread: **11400.0%**)
 - Action: `OVERPRICED_BASKET` | Net Est. Profit: **11399.5%**
- **UCLA vs. California** (99 outcomes)
 - Sum of YES Prices: **\$90.0** (Spread: **8900.0%**)
 - Action: `OVERPRICED_BASKET` | Net Est. Profit: **8899.5%**
- **Washington State vs. Washington** (151 outcomes)
 - Sum of YES Prices: **\$76.3315** (Spread: **7533.15%**)
 - Action: `OVERPRICED_BASKET` | Net Est. Profit: **7532.65%**

▣ Top Resolution Lag Discount Opportunities (Decided Markets):

- **Will Russia enter Ternuvate again by October 31?**
 - Price: **\$0.98** (Yes) | Discount: **2.0%** | Est. APY: **486.7%**
 - 24h Volume: \$95,560
- **LoL: Shopify Rebellion vs FlyQuest (BO3) - LCS Regular Season**
 - Price: **\$0.9825** (FlyQuest) | Discount: **1.75%** | Est. APY: **425.8%**
 - 24h Volume: \$212,672
- **Will AfD win between 42% and 45% of all valid second votes?**
 - Price: **\$0.984** (Yes) | Discount: **1.6%** | Est. APY: **389.3%**
 - 24h Volume: \$91,746
- **Will Base launch a token by September 30, 2026?**
 - Price: **\$0.9885** (No) | Discount: **1.15%** | Est. APY: **279.8%**
 - 24h Volume: \$154,196

▣ Active Liquidity Mining Pools:

- **US Open ATP: Daniil Medvedev vs Frances Tiafoe**
 - Max Spread: 4.5 | 24h Volume: \$1,478,486
- **Will Olympique de Marseille win on 2026-09-06?**
 - Max Spread: 4.5 | 24h Volume: \$774,329
- **Tampa Bay Rays vs. Texas Rangers**
 - Max Spread: 4.5 | 24h Volume: \$748,962
- **US Open ATP: Alex Michelsen vs Tomas Etcheverry**
 - Max Spread: 4.5 | 24h Volume: \$704,729

3. Strategy Feasibility Matrix

Strategy	Viability	Required Capital	Speed Requirement	Primary Risk
Resolution Lag Settlement Discounting	95%	\$500 - \$5,000	Low (Minutes)	UMA Oracle dispute delays (funds locked 5-14 days); anomalous voting outcome.
Liquidity Mining / Maker Rewards	88%	\$1,000 - \$10,000	Medium (Automated quotes)	Toxic flow: informed traders picking off resting limit orders during breaking news.
Negative-Risk Combinatorial Arbitrage	75%	\$2,000 - \$20,000	High (Milliseconds / MEV)	Leg-in slippage if one side fills and another moves.
UMA Oracle Ambiguity Arbitrage	60%	Variable (\$500+ for bonds)	Low (Careful rule reading)	Voter consensus can be unpredictable or subjective; loss of challenge bond.

4. The Recommended Solo-Developer Blueprint

1. **Never trade real capital without paper-trading first.** Test fill rates, slippage, and adverse selection.
2. **Start with Resolution Lag Harvesting:** Requires no expensive low-latency servers and has the lowest adverse selection.
3. **Combine with Merkl Liquidity Rewards:** Keep neutral inventory on low-volatility pairs to earn passive yield.

5. Verified Quant Resources & Repositories

- https://dev.to/benjamin_cup/optimizing-websocket-processing-for-high-speed-market-data-with-polymarket-clob-20dg
- <https://github.com/freakspace/polymarket-latency>
- <https://github.com/pladee42/polymarket-bot>
- <https://arxiv.org/abs/2508.03474>
- <https://arxiv.org/abs/2604.15674>
- <https://polymarket-partners.com/blog/ultimate-polymarket-arbitrage-guide>
- <https://gate.com/learn/articles/the-quiet-arbitrageurs-making-fortunes-on-polymarket/12914>
- <https://tierzero.dev/blog/polymarket-merge-split-conditional-token-arbitrage-strategy>